

Watch the video about bank run

<https://youtu.be/d5zu4BKm0YM>

Theme 1: Dynamics of Financial Crises

1. During a financial crisis, what typically happens to the credit spread?

- A) It decreases as government bonds become riskier.
- B) It increases as lenders demand higher yields for risk,.
- C) It stays flat due to efficient market hypotheses.
- D) It narrows because corporate defaults become predictable.

2. Which process describes "deleveraging" during a credit bust?

- A) Banks contract lending as their capital falls,.
- B) Banks increase risky lending to recoup losses.
- C) Depositors move funds to riskier shadow banks.
- D) Government agencies purchase all non-performing loans.

3. True or False

Financial liberalization and innovation are always stabilizing because they encourage banks to manage risk more profitably.

4. Debt deflation occurs when a sharp decline in price levels:

- A) Increases the real value of a borrower's debt,.
- B) Decreases the nominal amount owed to the bank.
- C) Allows firms to increase their net worth rapidly.
- D) Encourages banks to lower their collateral requirements.

5. Which banking structure is historically more vulnerable to systemic panics?

- A) Small, undiversified bank systems (e.g., historical U.S.),.
- B) Large, well-branched bank systems (e.g., Canada),.
- C) Systems with 100% deposit insurance coverage.
- D) Highly concentrated systems with only two banks.

Theme 2: The 2008 Crisis & Structured Products

6. Why did mortgage brokers contribute to the subprime crisis?

- A) They were only allowed to lend to prime borrowers.
- B) They were paid for loan volume, not quality,.
- C) They were required to hold 50% of every loan.
- D) They acted as the final insurers of the mortgages.

7. True or False

Credit Rating Agencies (CRAs) faced moral hazard because they were paid by the investment banks whose products they were rating,.

8. How do "Shadow Banks" (like hedge funds) primarily get their funding?

- A) From retail deposits insured by the FDIC.
- B) Through repurchase agreements (repos) using collateral,.
- C) Via direct grants from the Federal Reserve.
- D) By issuing long-term 30-year government bonds.

Theme 3: The 2023 SVB Collapse

9. What made SVB's deposit base an "extreme outlier" in 2022?

- A) 100% of its deposits were from retail households.

- B) Nearly 94% of its deposits were uninsured,.
- C) It had no exposure to the venture capital industry.
- D) Its deposits were entirely in physical cash vaults.

10. Which factor most distinguished the speed of the 2023 SVB bank run from historical bank runs?

- A) Customers were required to visit physical branches to withdraw funds.
- B) Mobile banking and social media made the run exceptionally fast.
- C) Daily withdrawal limits enforced by the Fed slowed the process down.
- D) The run was driven primarily by retail depositors without internet access.

11. Why did SVB's bond portfolio lose value in 2022?

- A) Rapidly rising interest rates decreased bond prices.
- B) The U.S. government defaulted on its Treasury bills.
- C) The bonds were linked to failing subprime mortgages.
- D) High inflation made the bonds' maturity dates shorter.

12. Which factors accelerated the "digital run" on SVB? (Select all that apply)

- A) Social media spreading panic and rumors,.
- B) Mobile banking allowing 24/7 rapid withdrawals,.
- C) Venture Capitalists advising startups to pull funds,.
- D) The Federal Reserve's immediate 500% rate hike.

13. What triggered the final panic on March 8, 2023?

- A) SVB announced a \$1.8 billion loss on bond sales,.
- B) The bank was upgraded to AAA by Moody's.
- C) CEO Greg Becker resigned to join the Fed.
- D) The FDIC announced it would double insurance limits.

14. In terms of systemic risk, how did SVB's structure relate to historical U.S. banking vulnerabilities?

A) SVB's focus on a single industry (tech) mirrored the lack of diversification seen in small banks prone to panics.

B) SVB was significantly more resilient than historical banks because it relied almost entirely on small, insured retail deposits.

C) The bank followed the historically stable Canadian model of having few competitors and a highly diversified national presence.

D) SVB's collapse was slower than historical runs because digital communication allowed management more time to find a buyer.